ABC Assurances — Fictional Automobile Policy (Form A-300)

Document ID: ABC-POL-AUTO-2026-001 Version: 2.1.0

Effective date (fictional): 2026-01-01

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ABC Assurances is a fictional insurer. This policy text is invented for software and RAG training demos. It is not legally binding and must not be used for real underwriting, claims, or compliance decisions.

ABC Assurances Automobile Policy (Form A-300)

This automobile insurance contract is entirely fictional and intended for educational RAG scenarios. It is issued by ABC Assurances. Defined terms appear in Section 1. Claims must be reported under **Form C-200**. Homeowners cross-references appear in **Form H-100**.

1. Definitions

1.1 **Automobile** means a private passenger vehicle described on the Declarations Page, including factory-installed equipment and declared accessories, but not trailers unless listed.

1.2 **Insured** means the named insured and resident drivers listed on the Declarations Page, plus permissive users as defined in 6.2.

1.3 **Accident** means a sudden, unintended event involving the Automobile that results in bodily injury or physical damage.

1.4 **Collision** means impact with another vehicle, object, or the road surface causing upset or rollover, regardless of fault for coverage triggering purposes under Section 4.

1.5 **Liability** means legal obligation to pay damages to third parties for bodily injury or property damage arising out of the ownership, use, or operation of the Automobile.

1.6 **Deductible** means the amount you pay per claim before ABC Assurances pays under physical damage coverages.

2. Agreement

2.1 ABC Assurances provides the coverages selected on the Declarations Page when premium is paid and this Policy is in force.

2.2 Territorial limits: Canada and the continental United States unless restricted by endorsement **A-TRV**.

2.3 This Policy does not replace mandatory government automobile plans where applicable; it is a fictional overlay for training purposes only.

3. Declarations Page (Sample Fictional Values)

3.1 Policy number: A-300-XXXXXX. Vehicle: 2024 fictional sedan, VIN FABRICATED123.

3.2 **Third-party liability (Coverage 200):** $2,000,000 per accident.

3.3 **Accident benefits (Coverage 300):** fictional standard package AB-STD.

3.4 **Collision (Coverage 400):** selected, deductible $1,000.

3.5 **Comprehensive / specified perils (Coverage 500):** selected, deductible $500, glass $200.

3.6 **Uninsured automobile (Coverage 600):** included per fictional statute ABC-AUTO-44.

4. Collision Coverage

4.1 We pay for direct and accidental physical damage to your Automobile caused by **Collision**, minus the **Collision deductible**, up to actual cash value or repair cost, whichever is less, subject to Section 8.

4.2 **Fault and recovery.** Payment under Collision is without regard to fault. If another driver is liable, we may subrogate; your deductible may be reimbursed if recovery exceeds the deductible (see 9.3).

4.3 **Rental vehicle extension.** Optional **Endorsement A-RR** provides up to $1,500 for temporary transportation after a covered collision loss, maximum 10 days, subject to approved repair facility assignment.

4.4 **Total loss.** If repair cost exceeds 80% of actual cash value, we may deem the Automobile a total loss and pay ACV minus salvage retained by you if you keep the vehicle.

4.5 **Collision exclusions internal to Section 4.** No Collision coverage for damage occurring while the Automobile is used in a racing or speed contest, or while carrying paying passengers beyond the declared ride-share endorsement **A-RSH**.

5. Liability Coverage

5.1 We defend and pay sums you are legally liable to pay for **bodily injury** or **property damage** to third parties, caused by the **Accident**, up to the limit for Coverage 200.

5.2 **Supplementary payments** include bail bonds up to $2,000, lost wages for court attendance $500 per day fictional cap, and emergency first aid to others.

5.3 **Property damage** includes damage to vehicles, fences, and fixtures, but not consequential business loss unless **Endorsement A-BIZ** is purchased.

5.4 **Non-owned automobile.** Coverage 200 extends to you while driving a private passenger automobile not owned by you or furnished regularly for your use, subject to limits and exclusions in 7.2.

5.5 **Cross-reference:** Liability arising at a residence premises may overlap **Form H-100** Coverage E; the auto Policy pays first for automobile-related occurrences.

6. Insured Persons and Permissive Use

6.1 Named insured and listed drivers are **Insureds** for all coverages.

6.2 **Permissive use.** A person who has your permission to drive the described Automobile is an **Insured** under Liability and Accident Benefits for that use, except employees using the vehicle for employer business without **Endorsement A-COM**.

6.3 **Excluded drivers** listed on the Declarations Page have no coverage; permissive use does not apply to them.

6.4 **Household rule.** Residents of your household not disclosed on the application may have benefits restricted under Coverage 300 until endorsed.

7. Exclusions (All Coverages Unless Noted)

7.1 Intentional acts, criminal use of the Automobile, and loss while the driver is impaired beyond fictional legal limits.

7.2 **Unlicensed or suspended driver** operating without your knowledge may void physical damage coverages; Liability may be reduced to statutory minimum fictional payment.

7.3 **Mechanical breakdown**, wear, and tire damage unless caused directly by a covered **Collision** or comprehensive peril.

7.4 **War, terrorism, and nuclear** perils except as minimally required by fictional law.

7.5 **Livery and commercial use** beyond declared ride-share or **A-COM** commercial endorsement.

7.6 **Racing, stunting, or off-road use** not declared under **Endorsement A-OFF**.

7.7 **Uninsured motorist** claims where you failed to file a police report within 24 hours for hit-and-run, per **Form C-200** Section 2.1.

7.8 **Excluded territories** if the vehicle is operated in a country barred on the Declarations Page.

8. Deductibles and How They Apply

8.1 **Comprehensive deductible** applies to non-collision perils under Coverage 500 (fire, theft, vandalism, flying objects, etc.).

8.2 **Collision deductible** applies per occurrence under Coverage 400 even if multiple vehicles are damaged in one **Accident**.

8.3 **Glass buydown** reduces comprehensive glass deductible to $0 when **Endorsement A-GLS** is active; one windshield repair per policy year without deductible.

8.4 **Multiple deductibles.** When one event triggers both comprehensive and collision (e.g., animal strike then guardrail), we apply the higher deductible unless separate incidents are proven.

8.5 **Waiver of deductible for not-at-fault collision** is available only with **Endorsement A-WDF** and third-party insurer identification.

8.6 Deductibles are owed regardless of repair facility choice; direct repair program shops may offer fictional rebate coupons not reducing contractual deductible.

9. Claims Cooperation and Subrogation

9.1 Report claims per **Form C-200** within 7 days or promptly after discovery.

9.2 Provide statements, witnesses, and permit inspection of the Automobile.

9.3 **Subrogation and reimbursement.** If we pay Collision and recover from a third party, you must cooperate; deductible refunded when net recovery allows.

9.4 **Appraisal.** Disputes on repair cost may use fictional appraisal process AP-AUTO-7 with umpire selection.

10. Accident Benefits (Fictional Summary)

10.1 Medical and rehabilitation expenses up to fictional limits AB-STD.

10.2 Income replacement subject to waiting period 14 days.

10.3 Caregiver and death benefits per schedule AB-DTH on Declarations.

10.4 Accident benefits are paid without fault determination; subrogation among insurers follows fictional inter-company agreement ICA-2026.

11. Uninsured and Unidentified Motorist

11.1 Coverage 600 pays bodily injury damages caused by an uninsured or unidentified driver when you are not at fault under fictional fault rules.

11.2 Property damage under 600 is limited to $50,000 unless endorsement **A-UMPD** increases limit.

11.3 Deductible $300 may apply to **UMPD** claims.

12. Policy Changes and Renewal

12.1 Material changes (additional drivers, business use, address) must be reported within 14 days.

12.2 Renewal may adjust deductibles based on claim frequency in prior 36 months.

12.3 **Educational use.** Premium tables and rate filings referenced herein are fabricated.

13. Endorsement Catalogue (Fictional)

13.1 **A-RR** — Rental reimbursement.

13.2 **A-RSH** — Ride-share declared use.

13.3 **A-COM** — Light commercial.

13.4 **A-GLS** — Glass buydown.

13.5 **A-WDF** — Not-at-fault deductible waiver.

13.6 **A-OFF** — Off-road recreational.

13.7 **A-TRV** — Extended travel territory.

13.8 **A-BIZ** — Business consequential liability extension.

14. Cross-Reference Table

14.1 Collision: Sections 4, 8.2, 8.4.

14.2 Liability: Sections 5, 7.5.

14.3 Deductibles: Section 8, Declarations 3.4–3.5.

14.4 Claims: **Form C-200**; home overlap **Form H-100** 11.4.

15. Sample Loss Scenarios (Educational)

15.1 **At-fault collision.** Insured rear-ends another vehicle. Collision coverage repairs insured vehicle minus $1,000 deductible. Liability pays third-party bodily injury and vehicle damage up to Coverage 200. Deductible waiver **A-WDF** does not apply because insured is at fault.

15.2 **Not-at-fault with identified third party.** Third party insurer accepts liability. ABC Assurances may pay Collision then subrogate; **A-WDF** may waive deductible upon third-party admission.

15.3 **Comprehensive glass.** Windshield chip spreads; **A-GLS** allows one no-deductible repair per year.

15.4 **Excluded use.** Vehicle damaged during undeclared off-road rally. Excluded under 7.6 and 4.5; Liability may still respond for third-party injury subject to investigation.

16. Premium Factors (Fictional)

16.1 Driver age, conviction history, and annual kilometres drive rating.

16.2 Optional endorsements priced separately in fictional rate manual RM-AUTO-2026.

17. Document Control

17.1 Document ID **ABC-POL-AUTO-2026-001**, version **2.1.0**, supersedes fictional version 2.0.4.

17.2 Claims reporting: **Form C-200** mandatory reference.

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